



Islamic Social Finance as a Transition Institution: The Role of Almsgiving (Zakat) and Charitable Endowments (Waqf) in Sustainable Development and Institutional Governance Innovation

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Abstract: Achieving sustainable development requires institutional arrangements capable of integrating social equity, economic inclusion, and environmental stewardship within coherent governance frameworks. Although Islamic social finance (ISF)—particularly almsgiving (Zakat) and charitable endowments (Waqf)—has been extensively discussed in relation to poverty alleviation and welfare governance, its role within sustainability transitions and institutional governance innovation remains insufficiently theorized. This study develops a conceptual framework that integrates institutional theory, the multi-level perspective (MLP) on sustainability transitions, and social-ecological systems (SES) analysis to examine how ISF may function as a transition-oriented institutional configuration. Drawing on a comprehensive review of 278 peer-reviewed and institutional sources, the analysis identifies four recurring institutional mechanisms: regulatory embedding, strategic resource reallocation, hybrid governance experimentation, and legitimacy reframing. These mechanisms operate across landscape, regime, and niche levels and are illustrated through documented governance models, including integrated Zakat-Waqf-microfinance systems and pilot-scale initiatives reflecting emerging environmental orientation within ISF practice and literature. The study further highlights structural constraints, including regulatory fragmentation and nascent environmental measurement approaches, that condition the extent to which these instruments may support sustainability-oriented institutional adaptation. The findings suggest that Zakat and Waqf possess institutional characteristics compatible with sustainability transitions when embedded within coherent policy and governance frameworks. Rather than assuming automatic transformative potential, the study positions ISF as a context-dependent institutional pathway that may contribute to inclusive development and, under specific regulatory and institutional conditions, to governance frameworks where environmental priorities are institutionally integrated.

Keywords: Islamic social finance; Zakat; Waqf; Sustainability transitions; Institutional governance; Governance innovation; Institutional mechanisms

1. Introduction

Sustainable development increasingly depends on institutional arrangements capable of integrating social equity, economic inclusion, and environmental stewardship within coherent governance systems (Geels, 2002; Ostrom, 2009). Consequently, sustainability transitions research has shifted from focusing primarily on technological innovation toward examining the institutional conditions that enable long-term systemic change, emphasizing governance coordination, adaptive capacity, and cross-sector collaboration (Geels & Schot, 2007; Köhler et al., 2019).

Within this broader debate, faith-based institutions remain comparatively underrepresented despite their longstanding contribution to social welfare, resource redistribution, and community resilience. Islamic social finance (ISF), particularly obligatory almsgiving (Zakat) and charitable endowments (Waqf), constitutes one of the world's oldest institutional systems for mobilizing social resources and supporting public welfare. Across many

Muslim-majority countries, these institutions contribute to poverty alleviation, financial inclusion, education, healthcare, and community development through diverse governance arrangements, including integrated Zakat-Waqf financing models and increasingly digital administrative systems (Ascarya, 2022; Kasri & Ahmed, 2019; Lestari et al., 2023).

Despite this growing body of research, existing studies have concentrated largely on governance performance, institutional efficiency, poverty alleviation, and Sustainable Development Goal (SDG) alignment. Comparatively less attention has been devoted to understanding whether and how ISF may contribute to broader processes of institutional transformation within sustainability transitions. Moreover, environmental dimensions remain only partially developed, empirical evidence is concentrated largely in Southeast Asia, and the governance conditions under which ISF may support transition processes remain insufficiently theorized.

Existing reviews have synthesized the relationship between ISF and sustainable development, primarily emphasizing governance practices, socio-economic outcomes, or SDG contributions (e.g., Dirie et al., 2024; Tok et al., 2022). However, they have not systematically examined ISF through the analytical lens of sustainability transitions, nor have they integrated institutional change, multi-level transition dynamics, and social-ecological resilience into a unified conceptual framework. This study addresses that gap by positioning ISF as a transition-relevant institutional arrangement whose contribution depends on enabling governance conditions rather than being assumed as inherently transformative.

The analysis is anchored primarily in the multi-level perspective (MLP) on sustainability transitions, which provides the overarching analytical framework for examining interactions among landscape pressures, regime structures, and niche-level innovation. Institutional Theory is employed to explain legitimacy formation, governance structures, and regulatory embedding, while social-ecological systems (SES) analysis provides complementary insights into resilience, adaptive capacity, and long-term stewardship. Rather than treating these frameworks as parallel perspectives, the study adopts MLP as the principal explanatory structure, with the other two serving as complementary analytical lenses.

Based on a structured conceptual synthesis of 278 academic and institutional sources, this study develops an integrated framework identifying four recurring institutional mechanisms through which ISF may contribute to sustainability transitions: regulatory embedding, strategic resource reallocation, hybrid governance experimentation, and legitimacy reframing. The central argument is not that Zakat and Waqf are established drivers of sustainability transitions, but that they possess institutional characteristics that may facilitate transition processes when supported by coherent governance, regulatory integration, and institutional capacity. By conceptualizing ISF as a transition-relevant institutional domain, the study extends sustainability transitions scholarship to include historically embedded faith-based governance systems while providing a more focused theoretical explanation of their potential contribution to sustainable development.

2. Materials and Methods

This study adopts a theory-building conceptual research design supported by a structured literature review. It combines systematic literature identification with qualitative thematic synthesis to develop an integrated conceptual framework explaining how ISF may contribute to sustainability transitions. The evidence base comprises peer-reviewed publications, institutional reports, and policy documents addressing ISF, sustainability transitions, and social-ecological governance. The analysis proceeded through four stages: literature identification, thematic coding, cross-theoretical mapping, and conceptual framework development.

(1) Methodological Approach

This study applies systematic review principles to ensure transparency and reproducibility while remaining a conceptual theory-building study rather than a formal systematic review or meta-analysis. Accordingly, the methodology incorporates explicit search strategies, predefined inclusion and exclusion criteria, and a structured screening process, while employing conceptual synthesis to identify institutional mechanisms and develop theoretical integration (Arksey & O'Malley, 2005; Munn et al., 2018). This approach is appropriate for studies seeking theoretical development rather than quantitative evidence aggregation.

(2) Research Design

The study develops a theoretically grounded analytical framework by integrating the MLP, Institutional Theory, and SES analysis. MLP serves as the primary analytical framework for examining interactions among landscape, regime, and niche levels, while Institutional Theory explains legitimacy formation, governance structures, and regulatory embedding. SES analysis complements this perspective by examining resilience, adaptive capacity, and long-term sustainability. Together, these frameworks provide an integrated explanation of ISF as a governance mechanism within sustainability transitions.

(3) Literature Identification and Selection

(i) Search Strategy

A structured literature search was conducted between January and March 2026 using Scopus, Web of Science, ScienceDirect, and Google Scholar. Searches were performed in titles, abstracts, and keywords using Boolean

combinations of ISF-related terms (e.g., ISF, Zakat, Waqf) and sustainability concepts (e.g., institutional change, governance, sustainability transitions, and financial inclusion). Publications published in English or Arabic between 2008 and 2026 were considered. Institutional reports and governance documents were included only to provide contextual evidence.

(ii) Screening and Selection

Studies were screened using predefined inclusion and exclusion criteria through a structured multi-stage process. Eligible studies focused on ISF, institutional governance, sustainability transitions, or related development issues, whereas purely theological, historical, duplicate, or methodologically weak studies were excluded. The screening process identified a final analytical corpus of 278 academic and institutional sources for conceptual analysis. In accordance with standard scholarly practice, the reference list includes only the works cited directly in the manuscript.

(iii) Quality Assessment

Sources were evaluated according to methodological rigor, institutional credibility, transparency of evidence, and theoretical relevance. Greater analytical weight was assigned to peer-reviewed empirical studies, whereas institutional reports and grey literature were used primarily for contextual illustration.

(iv) Geographic Scope and Limitations

The literature is concentrated primarily in Southeast Asia, particularly Indonesia and Malaysia, where ISF governance systems are most extensively documented. Additional evidence from GCC countries, the broader Middle East, Turkey, Africa, and Central Asia was incorporated to assess the conceptual transferability of the proposed framework. Nevertheless, the findings remain empirically anchored in the Southeast Asian experience and should be interpreted accordingly.

(4) Analytical Procedure

The analysis proceeded in four stages. First, the selected literature was coded inductively to identify recurring governance, institutional, financial, technological, and sustainability-related patterns. Second, related codes were grouped into broader thematic categories. Third, these themes were interpreted through MLP, with Institutional Theory and SES analysis providing complementary explanatory perspectives. Finally, institutional mechanisms were retained only when they recurred across multiple contexts, demonstrated theoretical coherence, and were supported by documented governance evidence. This process resulted in four mechanisms: regulatory embedding, strategic resource reallocation, hybrid governance experimentation, and legitimacy reframing.

(5) Conceptual Robustness

Conceptual robustness was enhanced through cross-regional comparison, assessment of theoretical coherence, alignment between evidence and interpretation, and iterative refinement throughout the analytical process.

(6) Data Availability

All sources used in this study are publicly available through the cited databases and institutional repositories.

(7) Ethical Considerations

This study is based exclusively on publicly available literature and therefore did not require ethical approval.

(8) Generative AI Disclosure

Generative AI tools were used solely for language editing and structural refinement. All literature selection, analysis, interpretation, and theoretical development were conducted by the author.

3. Results

3.1 Overview of Analytical Findings

The structured four-stage analytical procedure yielded a coherent interpretive configuration of institutional patterns suggesting that obligatory almsgiving and charitable endowment institutions may function not merely as redistributive instruments, but as transition-relevant institutional arrangements with the potential to influence multi-level sustainability dynamics under enabling governance conditions (Geels, 2002; Markard et al., 2012; Ostrom, 2009).

The analysis identified four analytically derived transition mechanisms—regulatory embedding, strategic resource reallocation, hybrid governance experimentation, and legitimacy reframing—through which ISF institutions may interact with landscape, regime, and niche dynamics within the MLP. These mechanisms do not imply uniform or fully consolidated transformation across contexts; rather, they indicate recurring governance pathways observed in the literature, though with uneven degrees of institutionalization, environmental integration, governance maturity, and measurement standardization across jurisdictions (Ascarya, 2022).

3.2 Institutional Correspondence Across Theoretical Frameworks

3.2.1 Core institutional characteristics identified

Thematic coding of the 278 included sources revealed recurring institutional characteristics:

- Formal regulatory codification and centralized oversight structures
- Asset-based perpetuity mechanisms inherent in charitable endowments
- Redistributive allocation frameworks linked to poverty alleviation and financial inclusion
- Digital integration and performance benchmarking initiatives
- Multi-stakeholder coordination platforms
- Emerging environmental financing instruments

These characteristics were systematically mapped against constructs from institutional theory, sustainability transitions theory, and SES analysis (Geels, 2002; Ostrom, 2009; Scott, 2013).

3.2.2 Cross-theoretical mapping outcomes

Cross-theoretical mapping showed that the identified institutional characteristics were analytically consistent with Institutional Theory, the MLP, and SES. MLP provided the primary analytical structure, while Institutional Theory and SES offered complementary explanations of governance, legitimacy, and resilience. This mapping informed the interpretation of the four transition mechanisms rather than implying theoretical equivalence.

3.3 Identified Transition Mechanisms

3.3.1 Regulatory embedding

Across multiple jurisdictions, Zakat and Waqf institutions demonstrate increasing regulatory embedding through centralized oversight, standardized reporting, and integration into national development frameworks. These arrangements strengthen institutional stability, reinforce legitimacy, improve policy alignment with sustainability strategies, and reduce governance fragmentation. Nevertheless, regulatory coherence remains uneven across jurisdictions, limiting the consistency of institutional implementation.

3.3.2 Strategic resource reallocation

The literature indicates that productive Zakat programs and structured Waqf investment models increasingly redirect resources toward micro-enterprises, social infrastructure, financial inclusion, and welfare services. Emerging initiatives also extend resource allocation to renewable energy, water management, climate resilience, and sustainable agriculture. Although environmental applications remain limited, the perpetual nature of Waqf assets provides a structural basis for long-term sustainability investment when supported by appropriate governance arrangements.

3.3.3 Hybrid governance experimentation

Hybrid governance arrangements involving collaboration among public institutions, private organizations, and civil society promote institutional innovation through digital transparency systems, performance benchmarking, cross-sector partnerships, and ESG-oriented administrative reforms. These governance arrangements strengthen adaptive capacity and improve institutional coordination, particularly where regulatory integration and digital governance are well developed.

3.3.4 Legitimacy reframing

Legitimacy reframing occurs through the alignment of Maqasid-based ethical principles with contemporary sustainability discourse. The reviewed literature documents the incorporation of stewardship narratives, sustainability reporting practices, environmental screening criteria, and multidimensional poverty measures into ISF governance. Although empirical evidence remains less developed than for regulatory embedding and resource reallocation, this mechanism broadens the normative foundations for sustainability-oriented governance and supports institutional adaptation.

The proposed transition mechanisms are informed by literature from Southeast Asia, the Middle East, Turkey, Africa, and other regions. However, the evidence base remains uneven. While regulatory embedding and strategic resource reallocation are supported by a combination of empirical and conceptual studies, hybrid governance and particularly legitimacy reframing rely more heavily on conceptual and normative literature. Environmental applications are discussed primarily through pilot initiatives and emerging governance practices, with limited rigorous empirical evidence demonstrating large-scale ecological outcomes. Full cross-context literature mapping for the four transition mechanisms is available from the corresponding author upon request.

3.4 Environmental Transformation Capacity

Environmental integration within ISF remains institutionally plausible but empirically underdeveloped. The reviewed literature identifies a limited number of conceptual discussions, pilot initiatives, and small-scale projects—including renewable energy endowments, water resource management, climate resilience financing, and sustainable agricultural Waqf—suggesting that Zakat and Waqf may contribute to environmental sustainability.

However, current evidence remains fragmented and does not demonstrate large-scale, systematically evaluated ecological outcomes across jurisdictions.

Using the SES perspective, environmental relevance was assessed through four indicative dimensions: adaptive capacity, resource feedback loops, long-term resilience, and institutional learning. While these dimensions reveal structural compatibility with sustainability transitions, their empirical manifestation remains uneven and highly dependent on regulatory coherence, governance capacity, standardized environmental measurement, and cross-sector coordination.

Accordingly, the environmental role of ISF should be interpreted as an emerging institutional potential rather than evidence of established large-scale ecological transformation.

3.5 A Preliminary Indicator Framework for Assessing Transition Dynamics

Given the measurement limitations identified in the literature, this study proposes a preliminary analytical framework rather than a validated performance measurement system. The indicators are conceptually derived from the four identified transition mechanisms—regulatory embedding, strategic resource reallocation, hybrid governance experimentation, and legitimacy reframing—and are intended to guide future empirical assessment and comparative institutional research.

3.5.1 Indicative measurement dimensions

The proposed framework includes three complementary indicator domains:

- **Socio-economic indicators:** Maqasid-based poverty measures, income mobility, enterprise sustainability, and financial inclusion.
- **Governance indicators:** Regulatory integration, reporting transparency, digital governance, and multi-stakeholder coordination.
- **Environmental indicators:** Allocation of Waqf assets to environmental initiatives, renewable infrastructure financing, water stewardship, and climate adaptation activities.

These dimensions should be interpreted as indicative measures of institutional orientation rather than standardized measures of socio-economic or environmental performance.

3.5.2 Measurement limitations

The proposed framework remains constrained by limited longitudinal datasets, the absence of standardized environmental reporting, restricted cross-country comparability, and the early stage of empirical validation within ISF research. Consequently, the indicators are intended as a conceptual measurement architecture that can guide future longitudinal studies, ESG-oriented reporting, and comparative evaluations as more robust evidence becomes available.

3.6 Integrated Transition Model

Table 1 presents the conceptual mapping of the four proposed ISF transition mechanisms across Institutional Theory, the MLP, and SES. The table highlights how each theoretical perspective contributes complementary explanatory insights regarding the mechanisms, their institutional location, and their implications for resilience and sustainability transitions.

Figure 1 synthesizes the proposed transition model by illustrating how landscape pressures, regime restructuring, and niche-level experimentation interact through four transition mechanisms: regulatory embedding, strategic resource reallocation, hybrid governance experimentation, and legitimacy reframing. Together, these mechanisms link institutional change with socio-economic, governance, and environmental outcomes. While the model demonstrates the structural compatibility of ISF with sustainability transitions, the extent of environmental transformation remains contingent upon regulatory coherence, institutional capacity, governance innovation, and context-specific implementation.

Table 1. Conceptual mapping of ISF transition mechanisms across institutional theory, sustainability transitions, and SES perspectives

Transition Mechanism	Institutional Theory Contribution	MLP Contribution	SES Contribution
1. Regulatory embedding	Explains HOW formal state recognition converts moral authority into bureaucratic legitimacy through the regulative pillar. Shows mechanisms of institutional	Clarifies WHERE this occurs: landscape-regime interaction dynamics. Global sustainability agendas (landscape) pressure national governments (regime) to embed ISF within policy	Reveals WHY this matters: institutional coordination reduces fragmentation, enhances adaptive capacity, and improves system responsiveness to

	adoption and normative acceptance within governance systems.	frameworks. Identifies conditions enabling regulatory integration.	sustainability challenges.
2. Strategic resource reallocation	Shows HOW hybrid mission logic enables capital redirection toward productive sectors while preserving religious legitimacy. Explains governance mechanisms that maintain dual institutional logics.	Maps WHERE reallocation occurs: regime-niche dynamics. Productive Zakat programs (niche-level experiments) generate innovations that scale into development finance systems (regime-level structures). Identifies learning pathways from niche to regime.	Demonstrates WHY reallocation enhances resilience: capital creates feedback loops enabling self-sustaining resilience financing. Resource circulation supports long-term adaptive capacity.
3. Hybrid governance experimentation	Illuminates HOW institutional work negotiates between religious, commercial, and state logics. Reveals the cognitive and normative dimensions of multi-stakeholder governance arrangements.	Maps WHERE this learning occurs: niche-regime interface. Public-private-civil partnerships (niche experiments) generate insights that feed back into policy structures (regime). Identifies how experimentation informs institutional evolution.	Shows WHY institutional learning matters: trial-and-error governance coordination improves system-level adaptive capacity. Experimentation reduces institutional lock-in.
4. Legitimacy reframing	Unpacks HOW normative and cognitive shifts reinterpret ISF from charity-focused to sustainability-oriented. Explains how religious authority narratives align with contemporary sustainability values.	Reveals WHERE narrative change occurs: across all three levels (landscape norms → regime discourse → niche practice). Global sustainability norms reshape how regulators and practitioners frame development and environmental priorities.	Demonstrates WHY reframing supports resilience: normative orientation toward stewardship and long-term sustainability enhances institutional commitment to ecological and social resilience.

Note: ISF = Islamic social finance; MLP = multi-level perspective; SES = social-ecological systems.

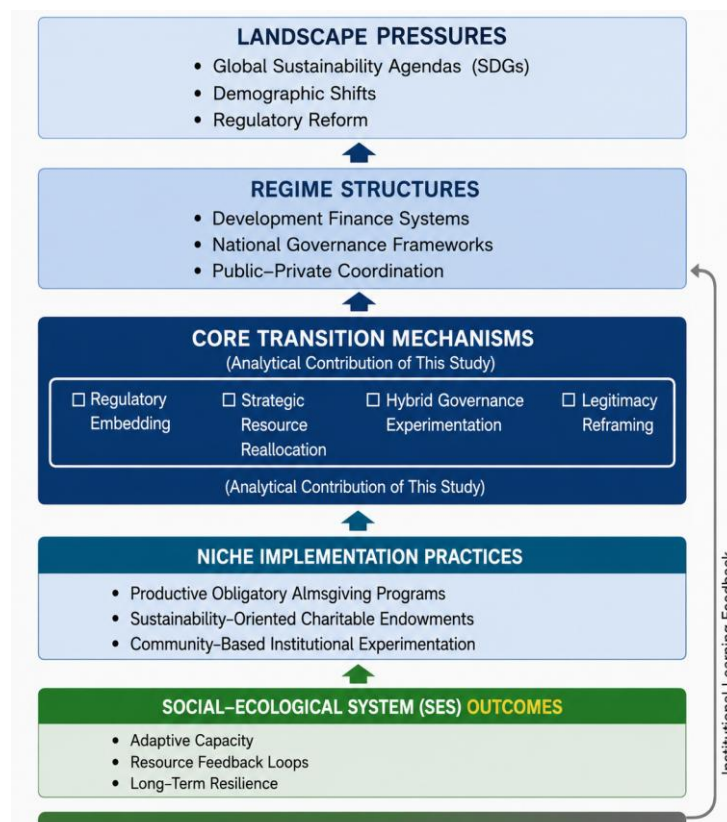


Figure 1. Conceptual model of sustainability transitions driven by Islamic social finance (ISF)

Note: SDGs = Sustainable Development Goals.

Table 2 integrates the proposed transition mechanisms across Institutional Theory, the MLP, and SES. It demonstrates how each mechanism can be interpreted through complementary theoretical lenses while highlighting associated governance forms and potential social-ecological implications.

Table 2. Integration of three frameworks explaining the four transition mechanisms

Transition Mechanism	Institutional Theory Lens	MLP Level(s)	Typical Governance Forms	Potential SES Implications
Regulatory embedding	Regulative pillar; institutional complexity; legitimacy consolidation; negotiated institutional alignment (DiMaggio & Powell, 1983; Greenwood et al., 2011; Scott, 2013)	Landscape ↔ Regime interaction pathways (Geels, 2002; Markard et al., 2012)	Regulatory recognition frameworks; centralized authorities; legal codification; standardized reporting systems (Kamaruddin & Hanefah, 2021; Yunus et al., 2024)	Enhanced institutional coordination; improved governance stability; context-dependent adaptive capacity (Ostrom, 2009)
Strategic resource reallocation	Resource mobilization; hybrid mission alignment; institutional complementarity (Battilana & Dorado, 2010)	Regime ↔ Niche experimentation spaces (Geels & Schot, 2007)	Productive Zakat programs; Waqf investment vehicles; integrated Zakat-Waqf-microfinance models (Ahmed, 2007; Ascarya, 2022; Mikail et al. 2017)	Emerging resource feedback dynamics; potential resilience financing pathways (Folke et al., 2010)
Hybrid governance experimentation	Hybrid organizations; institutional work; coordination mechanisms; governance mediation (Battilana & Dorado, 2010; Greenwood et al., 2011)	Niche ↔ Regime institutional learning interfaces (Markard et al., 2012; Smith et al., 2005)	Multi-stakeholder governance platforms; digital transparency systems; ESG-aligned administrative reforms	Institutional learning processes; incremental adaptive capacity development (Walker et al., 2004)
Legitimacy reframing	Normative and cognitive pillars; framing processes; meaning construction; legitimacy translation (DiMaggio & Powell, 1983; Scott, 2013)	Landscape ↔ Regime ↔ Niche normative interaction (Geels, 2002; Grin et al., 2010)	Alignment between Maqasid-oriented ethical framing and sustainability narratives; sustainability reporting practices (Dirie et al., 2024; Kasri & Ahmed, 2019)	Normative support for environmental integration; long-term stewardship orientation as an emerging governance logic (Ostrom, 2009)

Note: MLP = multi-level perspective; SES = social-ecological systems.

Key Tensions Revealed by Integration:

- Regulatory embedding may succeed at regime level while constraining niche-level experimentation
- Resource reallocation priorities may conflict between religious and sustainability objectives
- Governance experimentation requires institutional flexibility that formal regulation may constrain
- Legitimacy reframing toward sustainability may dilute religious authenticity commitments

These tensions are features, not flaws—they reveal the complexity of institutional change within multi-level sustainability systems.

Taken together, Figure 1, Table 1, and Table 2 demonstrate that ISF institutions—particularly obligatory almsgiving and charitable endowment systems—possess structural attributes compatible with sustainability transition processes. However, the depth and scale of environmental transformation depend on the institutional conditions under which these mechanisms are embedded.

The proposed framework integrates the complementary strengths of the three theoretical perspectives. The MLP provides the primary analytical structure for examining interactions across landscape, regime, and niche levels, while Institutional Theory explains governance processes, legitimacy formation, and regulatory change. SES analysis complements this perspective by highlighting resilience, adaptive capacity, and long-term sustainability. Together, these perspectives explain how the four proposed transition mechanisms create enabling institutional conditions that increase the likelihood of adaptive social-ecological outcomes rather than producing transformation automatically.

4. Discussion

The findings suggest that ISF may contribute to sustainability transitions through four interrelated institutional mechanisms: regulatory embedding, strategic resource reallocation, hybrid governance experimentation, and legitimacy reframing. Rather than representing sequential stages of transformation, these mechanisms constitute complementary governance processes whose effectiveness depends on institutional capacity, regulatory coherence, and context-specific implementation. Accordingly, ISF should be understood as a transition-supportive

institutional domain rather than an inherently transformative system.

4.1 Interpreting the Transition Mechanisms

The proposed mechanisms illustrate different pathways through which ISF may influence sustainability transitions. Regulatory embedding strengthens institutional legitimacy and policy coordination by integrating Zakat and Waqf within formal governance structures, although legal recognition alone is insufficient to generate systemic transformation. Strategic resource reallocation expands the developmental role of ISF by directing financial resources toward productive investment, financial inclusion, and social infrastructure, while remaining highly dependent on governance quality and policy support. Hybrid governance experimentation demonstrates how collaboration among governments, financial institutions, civil society, and religious organizations can enhance institutional learning and adaptive capacity. Finally, legitimacy reframing reflects the gradual incorporation of sustainability principles into ISF discourse and governance practices. The literature increasingly discusses this development, although empirical evidence of its institutional implementation remains uneven across jurisdictions.

Taken together, these mechanisms indicate that the transition relevance of ISF is conditional rather than automatic, emerging only where governance integration, institutional capacity, and accountability mechanisms reinforce one another.

4.2 Enabling Conditions and Institutional Constraints

The proposed transition mechanisms should be understood as conditional rather than automatic. Their effectiveness depends on institutional, regulatory, and governance environments that enable ISF to move beyond traditional welfare provision toward broader sustainability objectives.

Several enabling conditions emerge consistently across the reviewed literature. Regulatory coordination between Zakat, Waqf, and national development institutions strengthens policy coherence and institutional legitimacy. Transparent governance arrangements, standardized reporting, digital administrative systems, and effective accountability mechanisms further enhance organizational capacity and public trust. Likewise, collaboration among governments, financial institutions, civil society organizations, and religious authorities supports institutional learning and adaptive governance.

At the same time, important constraints continue to limit the realization of these mechanisms. Governance fragmentation, dormant Waqf assets, uneven regulatory frameworks, political interference, and limited transparency remain significant institutional challenges in several jurisdictions. In addition, differences in juristic interpretation and legal frameworks may affect institutional flexibility and the scope of policy innovation across countries.

These findings suggest that the transition potential of ISF should not be viewed as an inherent institutional property, but as an outcome contingent upon governance quality, regulatory coherence, institutional capacity, and context-specific implementation. Where these enabling conditions are strengthened, ISF is more likely to support sustainability transitions; where they remain weak, its contribution is likely to remain concentrated in conventional redistributive and welfare functions.

4.3 Theoretical Contributions

This study contributes to sustainability transitions scholarship in three respects. First, it extends the application of sustainability transitions theory to faith-based financial institutions that have received limited attention within MLP and SES research. Second, it demonstrates how religious legitimacy and formal governance structures may interact through hybrid institutional arrangements without assuming institutional convergence. Third, it conceptualizes four transition mechanisms that integrate institutional theory, the MLP, and SES analysis within a single explanatory framework, providing a structured basis for future empirical investigation.

4.4 Implications, Limitations, and Future Research

The findings suggest that integrating Zakat and Waqf within coherent governance frameworks may strengthen policy coordination, institutional accountability, digital transparency, and sustainability-oriented resource allocation. However, these implications should be interpreted as broad governance directions rather than prescriptive policy recommendations, reflecting the conceptual nature of this study.

The proposed framework also has important limitations. The evidence base is concentrated primarily in Southeast Asia, while studies from other regions remain comparatively limited and often descriptive. Environmental performance data are scarce, and the framework has not yet been validated through longitudinal empirical research. Future studies should therefore examine the proposed mechanisms across different

jurisdictions, develop standardized governance and environmental indicators, and evaluate the long-term institutional effects of ISF using mixed-method and longitudinal research designs.

5. Conclusions

This study reconceptualizes ISF institutions—specifically Zakat and Waqf systems—as potentially transition-relevant institutional arrangements within sustainability governance frameworks. Rather than viewing these systems as isolated redistributive instruments, the analysis positions them as structurally embedded configurations capable of influencing institutional coordination, resource allocation patterns, and governance learning across multiple levels when embedded within coherent regulatory structures.

The research identifies four mechanisms—regulatory embedding, strategic resource reallocation, hybrid governance experimentation, and legitimacy reframing—through which these institutions may interact with sustainability transition dynamics. These mechanisms are mutually reinforcing but not deterministic. Their effectiveness depends on regulatory design, institutional capacity, governance coherence, and political alignment—conditions that vary substantially across jurisdictions.

However, the analysis also demonstrates that the transition potential of ISF is conditional rather than inherent. The reviewed literature identifies several institutional challenges, including dormant Waqf assets, fragmented Zakat governance, variations in legal and theological interpretation, and uneven standards of transparency and accountability. Political and institutional constraints may further limit implementation in some contexts. These findings suggest that ISF is most likely to contribute to sustainability transitions where enabling conditions—such as coherent governance, regulatory coordination, institutional capacity, and transparent oversight—are firmly established. In their absence, ISF is more likely to remain focused on its traditional redistributive and welfare functions than to operate as a broader catalyst for sustainability transitions.

Regarding environmental dimensions, the study confirms that socio-economic outcomes are more extensively documented than ecological impacts. Environmental initiatives remain pilot-scale and geographically concentrated, demonstrating institutional feasibility but not large-scale transformation. Environmental integration requires stronger regulatory incentives, standardized reporting frameworks, and improved data integration—conditions not yet consolidated across jurisdictions.

Key Contributions

- Extends sustainability transitions theory to faith-based institutional systems comparatively absent from previous research
- Clarifies how religious legitimacy and formal regulatory embedding operate through negotiated institutional interaction rather than convergence
- Identifies areas of normative correspondence (rather than convergence) between Islamic governance principles and sustainability concerns
- Emphasizes the analytical distinction between organizational hybridity and systemic governance relevance

Critical Limitations

Empirical grounding is strongest in Southeast Asia (Indonesia, Malaysia), where institutional development is most extensively documented. Evidence from other regions remains primarily descriptive. The framework is conceptually derived and requires longitudinal empirical validation through comparative cross-jurisdictional testing.

Future Research Priorities

Longitudinal studies examining green initiative scaling, cross-jurisdictional mechanism testing, standardized environmental metrics development, and analysis of jurisprudential variation across contexts. Such research is essential for clarifying the institutional conditions under which ISF may substantively contribute to socio-economic inclusion and environmental integration.

Closing Statement

Obligatory almsgiving and charitable endowment systems exhibit institutional characteristics compatible with sustainability-oriented development when embedded within coherent governance frameworks. However, their contribution to sustainability transitions should be understood as contingent, path-dependent, and requiring ongoing institutional development rather than as automatic or predetermined. Neither romanticizing these institutions as solutions nor dismissing them as purely traditional is analytically justified. Rather, they represent historically rooted institutional architectures with latent transition capacity—realized only when governance conditions align and transparency, measurement, and policy integration are sufficiently developed.

Data Availability

A full bibliographic table listing all 278 reviewed sources is available from the corresponding author upon reasonable research request for replication purposes.

Conflict of Interest

The author declares no conflicts of interest.

Declaration of Generative AI Use in Writing

During the preparation of this work, the author utilized ChatGPT and AI-assisted language tools for language refinement, structural suggestions, and academic editing. Afterward, the author reviewed and edited the content as necessary and takes full responsibility for the publication's content.

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